Eventually, as a result of the joint efforts of the government and the Reserve Bank, we zeroed in on two payment mechanisms. The first was to pay a part, albeit a small part, in euros through a Turkish bank which came forward; and the second was to pay the remaining amount owed to Iran in rupees. But where would Iran keep the rupees and what will it do with them?

The straightforward option would have been for Iran to open an account with one of our banks into which the rupee payments could be made, but that wasn't as simple as it seemed. Most of our banks were reluctant to accept this business, not being sure of the impact of US sanctions on their overseas business, particularly given the dominance of the dollar for trade settlements. After much effort, we were able to persuade one of our public sector banks with minimal overseas presence to take on this task.

But what was Iran to do with the rupees in its Indian account? It was agreed that they would buy goods from India and use the rupees to pay for them; and the balance, if any, would be remitted to them in hard currency once the sanctions were lifted. Subsequent to the activation of the Rupee Payment Mechanism by the Reserve Bank, India's exports to Iran had increased from $2.4 billion in 2011/12 to $5.0 billion during 2013/14.

The resolution of the Iran oil payment impasse was a testimonial to the strong friendship between our two countries as well to as the ingenuity of senior officials of both the government and the Reserve Bank to find a solution to what seemed like an impossible cul-de-sac situation.